

default records. Reliance Retail has data on 18,000-plus stores, with customers in grocery, consumer electronics, fashion, lifestyle, and pharma. (See box A *Galaxy of Opportunities*.) The delivery model is a cost-effective digital-first approach using the web, apps, and physical stores to offer products.

A public sector banker says, “They have the advantage of starting with a clean slate when traditional, well-established players are struggling with technological changes.” The cloud-based, scalable technology model of JFS gives it huge savings. With Ma, it was timing; JFS has before it the entire India Stack of Aadhaar, e-sign, eKYC, UPI, ONDC, and the Account Aggregator framework to scale its operations.

So, what’s on offer from JFS?

34 | High-yield Lending Takes the Lead

JFS is a non-banking financial company (NBFC) holding the reins of a lender entrenched in consumer durables, an asset management company (AMC), an insurance firm looking for a big-name partner, and an equity broker.

Reliance Retail Finance Ltd offers unsecured and secured

WADING INTO COMPETITION

Top NBFCs from corporate houses

NBFC	Loan book
▶ Bajaj Finance	2,42,269
▶ Shriram Finance	1,78,685
▶ Tata Capital	1,20,940
▶ Cholamandalam Investment and Finance	1,04,809
▶ Aditya Birla Capital	94,936

> Jio is entering the highly competitive NBFC lending space, where Bajaj Finance is the leader

> There is headroom for growth as NBFCs have a share of less than 20 per cent in the overall lending market

ALL FIGURES IN ₹ CRORE; DATA AS OF MARCH 31, 2023;
SOURCE ANNUAL REPORTS

loans to consumers and merchants. It has been offering loans in a small way since 2019. It will leverage the group’s retail operations in the consumer electronics, grocery, and fashion segments. Initially, JFS is targeting consumer durables financing via the EMI model through the

400-plus Reliance Digital stores. Reliance Digital and commerce generated nearly ₹50,000 crore in revenue in 2022-23.

“The primary focus of consumer durables financing has traditionally been electronics and mobile devices, which still make up a significant portion

A GALAXY OF OPPORTUNITIES

18,040

The number of stores that gives it a retail presence across 7,000-plus towns

480

MILLION
Number of mobile and fixed line subscribers

249

MILLION
Registered customer base at retail outlets